

Now let's look at a few types of bond investments that can fill special needs.

Cash is not Trash

How can you wring more income out of your cash? The intelligent investor should consider moving out of bank certificates of deposit or money-market accounts—which have offered meager returns lately—into some of these cash alternatives:

Treasury securities, as obligations of the U.S. government, carry virtually no credit risk—since, instead of defaulting on his debts, Uncle Sam can just jack up taxes or print more money at will. Treasury bills mature in four, 13, or 26 weeks. Because of their very short maturities, T-bills barely get dented when rising interest rates knock down the prices of other income investments; longer-term Treasury debt, however, suffers severely when interest rates rise. The interest income on Treasury securities is generally free from state (but not Federal) income tax. And, with \$3.7 trillion in public hands, the market for Treasury debt is immense, so you can readily find a buyer if you need your money back before maturity. You can buy Treasury bills, short-term notes, and long-term bonds directly from the government, with no brokerage fees, at www.publicdebt.treas.gov. (For more on inflation-protected TIPS, see the commentary on Chapter 2.)